Pol 518 Question:

1. Consider committee consisting of three members. The committee is charged with selecting whether to implement a policy change or to retain the status quo. Assume this is a common-values problem so that each member obtains a payoff of 1 if the correct choice is made and 0 otherwise. Let the prior probability that the status quo is best be denoted $\pi \in (\frac{1}{2}, 1)$. With probability $1 - \pi$ the policy change is the correct choice. Assume that the members have heterogenous ability to do their own research and evaluate which policy is better. Agent i obtains a private signal about which policy is better that is correct with probability q_i. Assume that $\frac{1}{2} < q_1 < q_2 < q3 < 1$. So the quality of i's signal does not depend on the state (which policy is actually better) and the agents obtain signals that are independent conditional on the state.

   - Assume $\pi = \frac{1}{2}$ and consider the game in which each agent receives her private signal and then the agents vote simultaneously under majority rule. State conditions on the parameters, q_1, q_2, q_3 under which each agent voting sincerely is a Bayesian Nash Equilibrium. Compute the probability that the correct policy is chosen in this equilibrium (if/when it exists).
   - Suppose now $\pi = \frac{1}{2}$ and $q_1 = q_2 = .6$ and $q_3 = .95$. Find the Bayesian Nash equilibrium that maximizes the probability that the group makes the correct decision. State the probability the correct decision is reached in this equilibrium.
   - Now assume that $\pi > \frac{1}{2}$. For any profile of the signal qualities, can you find a Baysian Nash equilibrium which selects the worse policy more often than it selects the better policy?

Political Economy Comp Question: PLSC 519
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This question draws on the simplified version of Gilligan and Krehbiel (1987) as presented in the Gehlbach textbook (*Formal Models of Domestic Politics*) in Chapter 5 Section 7. The argument suggests that restrictive amendment procedures (i.e., closed rule) for legislation can encourage the development of expertise by legislative committees. Recall that an open rule means that the full legislature can amend any proposal from the legislative committee and a closed rule means that the full legislature cannot amend the proposal and must vote yes or no on it. There are two players: the full legislature and the legislative committee. The game proceeds as follows:

1. The legislature publicly commits to an open or closed rule (this commitment is binding).
2. The committee publicly decides whether to invest in expertise for a fixed cost, κ.
   - The committee observes the value of the random shock ω if and only if it invested in expertise. (*Hint*: This means that there can be no information transmission if the committee does not invest in expertise since they have no private information to convey.)
3. The committee then makes a proposal to the full legislature.
4. The full legislature then considers the committee's proposal under either a closed or open rule, given its choice in 1. from above.

Assume that the actors play the separating equilibria from Table 5.1 in Gehlbach (where they exist). Further assume that $x_A \leq \epsilon$ (until stated otherwise in part (e) below).

(a.) Consider the committee's decision when the legislature has committed to an open rule. What is the committee's expected payoff if it invests in expertise? What is its expected payoff if it does not?

(b.) Now consider the committee's decision when the legislature has committed to a closed rule. What is the committee's expected payoff if it invests in expertise? What is its expected payoff if it does not?

(c.) How does the condition for the committee to invest in expertise under an open rule compare to that under a closed rule?

(d.) Derive the condition for the legislature to prefer a closed rule over an open rule, given how the committee will behave in response. Substantively interpret your result.

(e.) Now assume that $x_A > \epsilon$. Would the legislature ever prefer a closed rule over an open rule? Why or why not?

PE exam – IPE question – August 2025

Focus on In Song Kim's *Political Cleavages within Industry*, published in 2017 in the *APSR*.

On the contribution:
a. What is the main theoretical argument?
b. What empirical evidence challenges the factor- and sector-level models of trade, and how does Kim's model help us understand those patterns?

On the theoretical model:
c. Explain all elements (and sub-elements) in expression (4).
d. What ingredient does $L_i(\tau)$ contain in this model that is missing in Grossman and Helpman (1994), *Protection for Sale*? How does this matter for the main argument in Kim (2017)?
e. Suppose the incumbent cared only about contributions: Would Kim's and Grossman and Helpman's models predict the same tariff rate?

On empirics:
f. Explain Table 3 in words, connecting key parameters in the theoretical model with the empirical specification.

3. **Question for PLSC 721 (Political Economy of Development):**

a. Describe verbally the democratization argument in Acemoglu and Robinson (2001). Who are the actors? When does democratization happen? Why?
b. What does the paper "Democratization under the Threat of Revolution: Evidence from the Great Reform act of 1832" (Aidt and Franck, 2015) show, and how do the authors link these findings with the argument in Acemoglu and Robinson (2001)?
c. Describe the main empirical strategy in the paper. Why is it important to control for Whig share 1826 in Table II?

Now consider the paper "Liberation Technology: Mobile Phones and Political Mobilization in Africa" (Manacorda and Tesei, 2020).

a. What is the unit of analysis in this paper?
b. Write down specification (1) in page 547 and explain it. What is the identifying variation? What would be the interpretation of coefficients β_1 and β_2?
c. Explain the instrumental variable design used in the paper. What is the threat to identification it addresses?
d. Explain Figure 5 (two panels in page 555). Why does it provide evidence in favor of the identification strategy?
e. What theoretical mechanism do you believe explains the results in this paper, coordination or information?